Retirement villages and aged care, New Zealand

Cheap against its assets, but the cash has to show up first

Oceania trades at 41 cents for every dollar of its property value. That has been true for years, and it will stay true until the business shows it can make cash without building more. Two dates this month will tell us a lot.

Call: hold until 27 November, then decide again. Price NZ$0.66. Value range NZ$0.70 to NZ$0.85. Add below NZ$0.58. Trim above NZ$0.90. Accept a recommended bid at NZ$1.00 or more.

Why hold

The shares are priced about where the evidence puts them. My cash value is NZ$0.77 and the sector multiple gives NZ$0.72, both a little above the price. But on my odds the expected price in June 2028 is NZ$0.74, a return of about 7% a year against the 10.8% I would want for the risk.

Why not buy more

Both listed peers trade at 0.43 to 0.46 times their asset value, and one of them pays a dividend. Oceania is unlikely to rise far above that on its own. Its cash from operations is still negative once one-off collections are taken out, and almost all of the cash value depends on it continuing to build villages after 2031.

Why not sell now

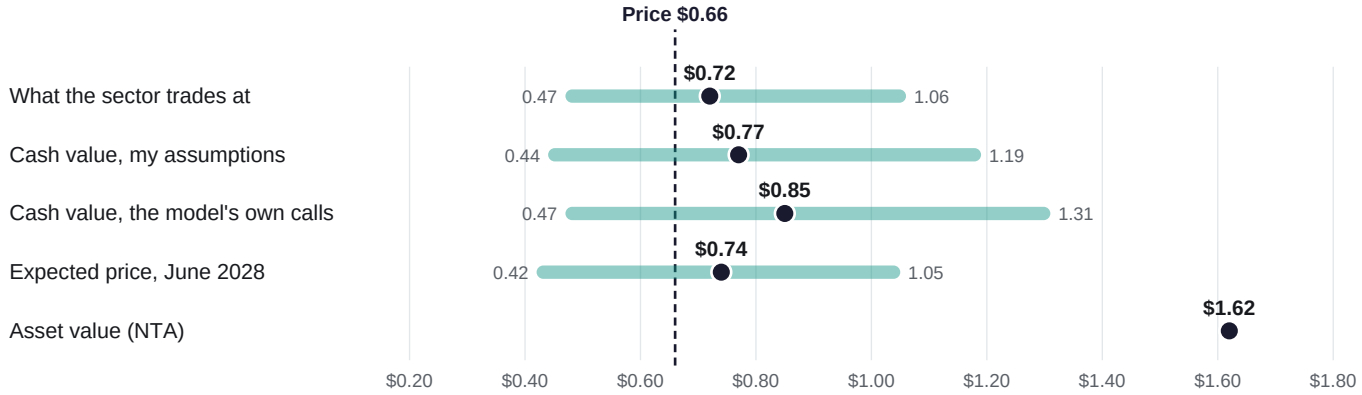
The half-year result on 19 November and the final election count on 27 November bear on the two biggest unknowns: whether the business is making cash, and how fast operators must repay departing residents. Both land within 17 days. The price that pays the return I want is NZ$0.63, only 5% below today.

What would change the view

Better: cash from operations positive without collections, a first dividend, the nine-month repayment rule confirmed, or a bid. Worse: stock building up, property values marked down on 19 November, or a three-month repayment rule on existing contracts.

Key numbers	
Share price (6 November)	NZ$0.66
12-month range	$0.62 to $0.93
Market value	$478m
Net debt (31 March)	$507m
Asset value (NTA) a share	$1.62
Price to asset value	0.41 times
Peers' price to asset value	0.43 to 0.46
Debt to debt plus equity	30.1%
Earnings, FY26 (underlying EBITDA)	$97.4m
Cash from operations, FY26	-$15.0m
Dividend	None declared for FY26
Cash value, my assumptions	$0.77
Cash value, the model's	$0.85
Expected price, June 2028	$0.74
Return I would want	10.8% a year

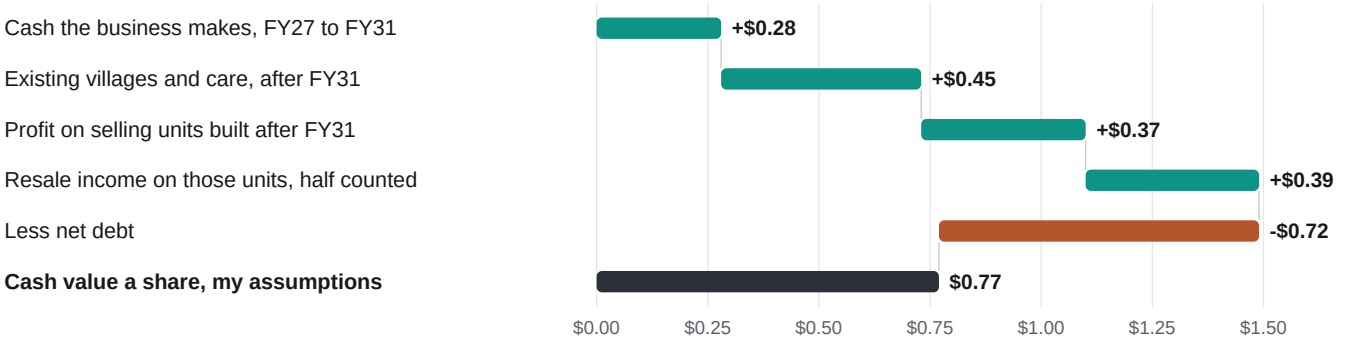
Most measures sit a little above the price, and all of them have wide ranges



NZ$ a share. Dots are the central figure. Bars show the range between the bad and good cases (sector, June 2028) or when one assumption changes at a time (cash values).

What the value rests on

Take away building after 2031 and almost nothing is left for shareholders



NZ$ a share, my assumptions. The first two bars together roughly equal the debt. Oceania delivered 71 units last year and the value assumes about 100 a year for ever; 750 of the 1,270 units in its land bank do not yet have consent.

What could happen

By June 2028 the middle outcome is not much above today

Outcome	Chance	Share price
Takeover or break-up	12%	$1.05
The plan works and the sector re-rates	25%	$0.90
No real change	35%	$0.72
The plan fails: stock builds, values fall	21%	$0.52
Forced share issue	7%	$0.42

Chances are my judgement and add to 100%. Weighted price NZ$0.74, or NZ$0.70 with no takeover. No dividends assumed: on the model's figures FY27 would fund under a tenth of a cent a share.

Dates to watch

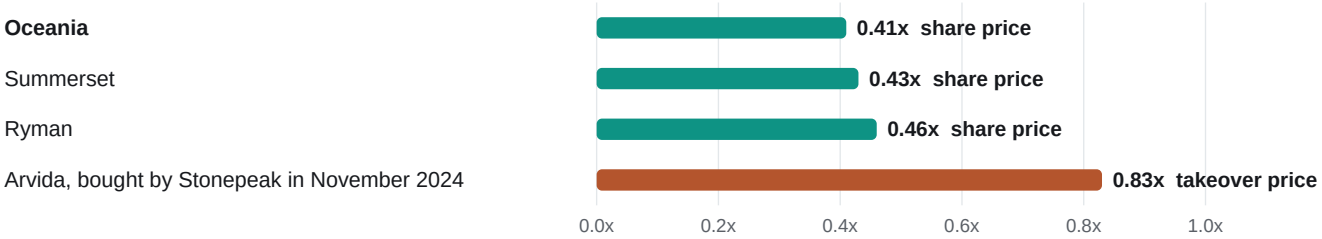
Date	Event	Good looks like	Bad looks like
19 Nov	Half-year result	Cash from operations near break-even before collections; unsold new stock at or under 200 units; asset value at or above $1.60	Cash still well negative; receivables not collected; property values or the care book marked down
Late Nov	Ryman half-year	Resales above departures; valuer inputs unchanged	Valuer cuts its price growth assumptions
27 Nov	Final election count, then coalition talks	Current government returns; nine-month repayment rule for new contracts only (about 1 cent)	A three-month rule that covers existing contracts (6 to 8 cents on my estimate)
May 2027	Full-year result	First dividend, however small	Dividend pushed out again
Oct 2027	$125m bond at 2.30% matures	Refinanced near 5.6%, about $4m more interest a year	Needs an asset sale or new shares to repay

The case for and against

For	Against
41 cents in the dollar of independently valued property, or 54 to 75 cents after taking off head office costs.	The whole sector sits near 0.44 times and has not moved for peers that pay dividends.
Management delivered in FY26: $13m of costs out and debt down $121m.	Cash from operations is about -$14m in FY27 without one-off collections.
Income from resales grows as residents age and as unsold units fill, from $68m to about $117m a year by FY32.	Each resale brings a refurbishment bill of about $61,000 for a village unit, and house prices have fallen for seven months.
A refreshed board with a large holder on it, and a discount big enough to invite a bid.	Holders voted 87% against a strategic review in July. A bid would most likely need the board's support.

How it compares

Oceania is priced like its listed peers; the last takeover in the sector was done at about twice that



Price as a multiple of asset value (NTA) a share. Listed prices are 6 November 2026 closes against the latest reported asset values. At Arvida's multiple Oceania would be NZ$1.35; my takeover case uses NZ$1.05.

The numbers

Year to 31 March	FY25	FY26	FY27 forecast	FY28 forecast
New sales (units)	184	201	205	150
Resales (units)	336	402	409	422
Unsold new units at year end	337	258	155	102
Cash from resales, net ($m)	50.6	77.9	90.2	82.0
Fees less operating costs ($m)	-65.0	-52.1	-50.0	-50.0
Maintenance and refurbishment ($m)	-21.3	-23.3	-21.1	-22.7
Development spending ($m)	-83.3	-62.1	-65.0	-72.0
Cash before interest ($m)	18.9	94.8	80.1	35.1
Company measure: cash from operations ($m)	-41.7	-15.0	-2.0	not forecast

Forecasts are my assumptions in the v4 workbook (case 2). FY27 includes $15m from collecting deferred settlements and a $4.6m Holidays Act payment.

Funding	
Net debt, 31 March 2026	$507m, down $121m in the year
Bank and bond facilities	$725m, about $200m unused
Lending tests	Loan to value 31.8% (limit 50%); interest cover 3.7 times (minimum 2.0)
Bonds	$125m at 2.30% to Oct 2027; $100m at 3.30% to Sep 2028; $125m at 5.55% to Jul 2032
Largest holders	Forsyth Barr clients 12.2%, ANZ 6.6%, Lennon 4.98%, ACC 4.8%, Generate 4.4%, Tomlinson 3.9%

What changed since the last note

First note in this format. Against the 28 October model: the cash value is unchanged at NZ$0.85 on the model's own calls (lower bond yields added 11 cents, repairs took 10 off) and NZ$0.77 on mine. The call moves from an open-ended hold to a hold until 27 November.

Terms used

Term	What it means here
Asset value (NTA)	What an independent valuer says the villages and care homes are worth, less debts. It leaves out about $32m a year of head office cost.
Cash value	Today's worth of the cash the business is forecast to make, after debt. About four-fifths of it lies beyond FY31.
Sector multiple	The share price of Ryman and Summerset divided by their asset value, applied to Oceania's.
Return I would want	The yearly return that pays for the risk of holding the shares, from the model's cost of equity.

Sources

Oceania FY26 annual report, results presentation and supplementary slides; NZSA presentation (July 2026); OCA030 bond terms; NZX announcements; Reserve Bank; Trading Economics (bond yield, 9 November); Ryman and Summerset September-quarter updates and Summerset half-year presentation; Beehive (care funding, 17 June 2026); the v4 valuation workbook and the full review dated 10 November 2026. Not yet available: Oceania and Ryman half-year results, final election count.

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